CLOSING STATEMENT

Foxglove Lofts | St. Louis, MO

Property	Foxglove Lofts
Settlement Date	August 19, 2021
Buyer	Sunbelt Ridge Acquisitions
Seller	Fenwick & Dale Investments
Sale Price	$55,490,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$55,490,000			
Earnest money deposit		$510,913	$510,913	
Real estate tax proration	$129,804			$129,804
Rent proration			$72,902	
Security deposits assumed	$24,900	$24,900		
Prepaid rents			$93,914	$93,914
Owner's title policy premium	$202,852			
Lender's title policy premium		$188,468	$188,468	
Escrow fee	$330,272			$330,272
Recording fees			$515,748	
Transfer tax	$99,214	$99,214		
Survey			$480,788	$480,788
Legal fees - Buyer	$285,898			
Legal fees - Seller		$508,574	$508,574	
Broker commission	$533,498			$533,498
Loan origination fee			$138,170	
Lender legal	$156,744	$156,744		
Appraisal fee			$72,744	$72,744
Environmental report	$290,110			
Property condition report		$296,173	$296,173	
Tax escrow deposit	$419,170			$419,170
Insurance escrow deposit			$221,576	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$55,490,000			
Legal fees - Seller		$447,764	$447,764	
Broker commission	$381,945			$381,945
Loan origination fee			$466,140	
Lender legal	$182,552	$182,552		
Appraisal fee			$135,658	$135,658
Environmental report	$368,743			
Property condition report		$521,920	$521,920	
Tax escrow deposit	$334,403			$334,403
Insurance escrow deposit			$232,367	
Replacement reserve deposit	$503,722	$503,722		
Utility deposits			$38,602	$38,602
Assumed vendor contracts credit	$401,823			
Tenant improvement credit		$526,422	$526,422	
Courier / wire fees	$123,449			$123,449
Municipal certificates			$254,623	
Purchase price	$51,608	$51,608		
Earnest money deposit			$185,175	$185,175
Real estate tax proration	$142,552			
Rent proration		$541,348	$541,348	
Security deposits assumed	$427,156			$427,156
Prepaid rents			$470,523	
Owner's title policy premium	$470,383	$470,383		
Lender's title policy premium			$448,998	$448,998
Escrow fee	$124,147			
Recording fees		$322,786	$322,786	
Transfer tax	$155,962			$155,962
Survey			$405,390	

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 6.6% annually with renewal retention above 92.3%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The going-in capitalization rate of 5.25% reflects the in-place income and the stabilized occupancy assumption.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Resident turnover has averaged 2.9% annually with renewal retention above 93.8%. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

Operating Performance

The going-in capitalization rate of 5.48% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Effective gross income for the trailing period was $271,000, representing a 7.1% increase over the prior year. Debt service coverage ratio was 6.34x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.25x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

Income and Expense Review

Debt service coverage ratio was 7.16x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $454,000, representing a 3.2% increase over the prior year. Resident turnover has averaged 5.2% annually with renewal retention above 96.3%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. The going-in capitalization rate of 8.19% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.6% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$55,490,000			
Tenant improvement credit		$548,592	$548,592	
Courier / wire fees	$325,473			$325,473
Municipal certificates			$57,521	
Purchase price	$476,338	$476,338		
Earnest money deposit			$22,875	$22,875
Real estate tax proration	$411,048			
Rent proration		$291,915	$291,915	
Security deposits assumed	$198,529			$198,529
Prepaid rents			$249,250	
Owner's title policy premium	$367,024	$367,024		
Lender's title policy premium			$409,204	$409,204
Escrow fee	$438,662			
Recording fees		$538,891	$538,891	
Transfer tax	$241,152			$241,152
Survey			$410,511	
Legal fees - Buyer	$477,039	$477,039		
Legal fees - Seller			$297,817	$297,817
Broker commission	$249,606			
Loan origination fee		$440,549	$440,549	
Lender legal	$330,400			$330,400
Appraisal fee			$338,744	
Environmental report	$153,681	$153,681		
Property condition report			$338,836	$338,836
Tax escrow deposit	$192,672			
Insurance escrow deposit		$204,233	$204,233	
Replacement reserve deposit	$358,876			$358,876
Utility deposits			$551,038	

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Effective gross income for the trailing period was $324,000, representing a 3.5% increase over the prior year. Operating expenses totaled $315,000 or approximately 43.58 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $313,000 or approximately 32.95 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $129,000, representing a 9.4% increase over the prior year. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.85% reflects the in-place income and the stabilized occupancy assumption.

Operating expenses totaled $109,000 or approximately 30.42 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Effective gross income for the trailing period was $384,000, representing a 13.8% increase over the prior year.

Operating Performance

Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $125,000, representing a 2.5% increase over the prior year. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.87% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Operating expenses totaled $421,000 or approximately 8.86 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 5.9% annually with renewal retention above 94.2%.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$55,490,000			
Recording fees		$473,358	$473,358	
Transfer tax	$77,928			$77,928
Survey			$398,453	
Legal fees - Buyer	$170,641	$170,641		
Legal fees - Seller			$185,571	$185,571
Broker commission	$448,724			
Loan origination fee		$97,739	$97,739	
Lender legal	$230,098			$230,098
Appraisal fee			$138,569	
Environmental report	$43,576	$43,576		
Property condition report			$203,402	$203,402
Tax escrow deposit	$103,251			
Insurance escrow deposit		$339,688	$339,688	
Replacement reserve deposit	$254,128			$254,128
Utility deposits			$239,131	
Assumed vendor contracts credit	$213,716	$213,716		
Tenant improvement credit			$260,149	$260,149
Courier / wire fees	$270,572			
Municipal certificates		$177,308	$177,308	
Purchase price	$439,256			$439,256
Earnest money deposit			$325,047	
Real estate tax proration	$58,487	$58,487		
Rent proration			$552,419	$552,419
Security deposits assumed	$236,544			
Prepaid rents		$443,263	$443,263	
Owner's title policy premium	$544,190			$544,190
Lender's title policy premium			$347,220	

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Operating Performance

The going-in capitalization rate of 6.60% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 5.0% annually with renewal retention above 93.7%. The going-in capitalization rate of 6.26% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Valuation Discussion

Operating expenses totaled $242,000 or approximately 39.66 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $166,000, representing a 8.5% increase over the prior year. Resident turnover has averaged 10.3% annually with renewal retention above 90.8%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Operating expenses totaled $350,000 or approximately 12.26 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.61% reflects the in-place income and the stabilized occupancy assumption. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $269,000, representing a 3.2% increase over the prior year. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Operating Performance

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Operating expenses totaled $302,000 or approximately 22.20 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 7.0% annually with renewal retention above 92.1%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.4% annually with renewal retention above 96.3%. Operating expenses totaled $463,000 or approximately 24.79 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$55,490,000			
Insurance escrow deposit		$507,266	$507,266	
Replacement reserve deposit	$214,795			$214,795
Utility deposits			$48,397	
Assumed vendor contracts credit	$479,682	$479,682		
Tenant improvement credit			$210,492	$210,492
Courier / wire fees	$270,711			
Municipal certificates		$480,081	$480,081	
Purchase price	$307,547			$307,547
Earnest money deposit			$265,408	
Real estate tax proration	$152,740	$152,740		
Rent proration			$173,397	$173,397
Security deposits assumed	$16,559			
Prepaid rents		$360,349	$360,349	
Owner's title policy premium	$448,435			$448,435
Lender's title policy premium			$447,788	
Escrow fee	$441,906	$441,906		
Recording fees			$172,940	$172,940
Transfer tax	$161,464			
Survey		$535,886	$535,886	
Legal fees - Buyer	$437,393			$437,393
Legal fees - Seller			$169,490	
Broker commission	$110,425	$110,425		
Loan origination fee			$372,002	$372,002
Lender legal	$57,851			
Appraisal fee		$329,156	$329,156	
Environmental report	$519,122			$519,122
Property condition report			$178,797	

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Income and Expense Review

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 12.8% annually with renewal retention above 92.3%. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.57x on a trailing basis against a covenant minimum of 1.20x.

Resident turnover has averaged 12.5% annually with renewal retention above 94.9%. Effective gross income for the trailing period was $109,000, representing a 7.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $135,000 or approximately 19.36 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Operating Performance

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.42% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 5.9% annually with renewal retention above 90.6%.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Effective gross income for the trailing period was $362,000, representing a 13.0% increase over the prior year. Debt service coverage ratio was 5.14x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $20,000 or approximately 45.78 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Operating Performance

Debt service coverage ratio was 7.27x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Debt service coverage ratio was 7.69x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$55,490,000			
Prepaid rents		$481,543	$481,543	
Owner's title policy premium	$421,396			$421,396
Lender's title policy premium			$262,983	
Escrow fee	$391,777	$391,777		
Recording fees			$507,087	$507,087
Transfer tax	$11,637			
Survey		$272,609	$272,609	
Legal fees - Buyer	$496,144			$496,144
Legal fees - Seller			$176,615	
Broker commission	$72,449	$72,449		
Loan origination fee			$83,484	$83,484
Lender legal	$493,438			
Appraisal fee		$409,776	$409,776	
Environmental report	$232,550			$232,550
Property condition report			$538,135	
Tax escrow deposit	$88,021	$88,021		
Insurance escrow deposit			$84,544	$84,544
Replacement reserve deposit	$456,997			
Utility deposits		$41,834	$41,834	
Assumed vendor contracts credit	$83,417			$83,417
Tenant improvement credit			$398,155	
Courier / wire fees	$482,489	$482,489		
Municipal certificates			$121,240	$121,240
Purchase price	$77,909			
Earnest money deposit		$523,594	$523,594	
Real estate tax proration	$415,960			$415,960
Rent proration			$444,306	

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Valuation Discussion

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Debt service coverage ratio was 5.61x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $179,000 or approximately 31.95 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Operating expenses totaled $238,000 or approximately 46.22 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.45x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $184,000, representing a 10.2% increase over the prior year.

Operating Performance

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Effective gross income for the trailing period was $451,000, representing a 8.0% increase over the prior year. Operating expenses totaled $464,000 or approximately 45.65 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 7.1% annually with renewal retention above 95.2%. Effective gross income for the trailing period was $365,000, representing a 3.6% increase over the prior year. Debt service coverage ratio was 5.01x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.42% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.74x on a trailing basis against a covenant minimum of 1.20x.

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.17% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.21x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $308,000, representing a 4.8% increase over the prior year.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$55,490,000			
Appraisal fee		$23,270	$23,270	
Environmental report	$548,516			$548,516
Property condition report			$126,109	
Tax escrow deposit	$351,510	$351,510		
Insurance escrow deposit			$256,974	$256,974
Replacement reserve deposit	$295,645			
Utility deposits		$549,783	$549,783	
Assumed vendor contracts credit	$162,195			$162,195
Tenant improvement credit			$207,585	
Courier / wire fees	$204,595	$204,595		
Municipal certificates			$270,836	$270,836
Purchase price	$118,590			
Earnest money deposit		$301,205	$301,205	
Real estate tax proration	$368,122			$368,122
Rent proration			$214,222	
Security deposits assumed	$525,867	$525,867		
Prepaid rents			$144,864	$144,864
Owner's title policy premium	$203,797			
Lender's title policy premium		$391,287	$391,287	
Escrow fee	$401,427			$401,427
Recording fees			$385,760	
Transfer tax	$489,780	$489,780		
Survey			$490,150	$490,150
Legal fees - Buyer	$302,746			
Legal fees - Seller		$179,191	$179,191	
Broker commission	$503,714			$503,714
Loan origination fee			$166,306	

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